

CFO business-case pack

Fraud Detection Enhancement

Tenant: First Capital Financial

Tenant key: first-capital

Move ref: first-capital:move:FC-FRAUD-2026

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A one-document CFO pack — the seven-part answer standard: the answer, the case, the assumptions, what would make it wrong, what not to fund yet, what Tower will measure, the evidence and gaps.

Every figure in this document is produced by the Moves Expert Kernel from the tenant's audited substrate. Absent data is declared a seed gap, never invented. Effort rests on a researched planning rate card — a market range, not a quote. Generated by AbarVa · Moves.

CFO business-case pack — the seven-part answer

Fraud Detection Enhancement · first-capital. This pack answers the CFO question to the spec §9 standard: not just an answer, but the case, the assumptions, the failure modes, the funding hold, the measurement handoff and the evidence.

1 · Here is the answer

Verdict: SHAPE — do not fund as-is

The critic raised 1 blocker(s) — fund only once they are resolved. Re-shape the Move to close them.

2 · Here is the business case

Investment (effort)	\$1,587,595 – \$2,614,863 (base \$1,867,759)
Net value (post-haircut)	\$1,302,840 – \$4,921,840 (base \$3,112,340)
Net return	-\$1,312,023 – \$3,334,245 (base \$1,244,581)
Payback	Not monetisable — the value rests on a baseline seed gap, so the kernel returns no payback rather than a fabricated one.
Monetisable	No
AI-build effort	\$1,418,512
Business-change effort	\$449,248 (24% of effort)

Scenario	Investment	Net return	ROI
Base	\$1,867,759	\$1,244,581	Not recorded — seed gap
Conservative	\$2,614,863	-\$1,312,023	Not recorded — seed gap
Upside	\$1,587,595	\$3,334,245	Not recorded — seed gap

Downside read: The conservative case cannot be expressed in hard dollars — the value rests on a seed-gap proxy. Close the baseline gap before reading the downside as a number.

3 · Here are the assumptions driving it

The three flagged TOP MOVERS move roughly 80% of the outcome.

- [TOP MOVER] [SEED-GAP PROXY] alert_volume — Annual fraud alert volume is a modeled proxy (~120k alerts/yr for a bank of First Capital's scale) — used only to express review load. (owner David Chen (Risk Technology); confidence low; impact high)
- [TOP MOVER] [SEED-GAP PROXY] false_positive_cost — Each false-positive investigation costs a modeled ~\$18 of analyst time — no per-alert handling cost is seeded. (owner James Park (CRO); confidence low; impact high)
- [TOP MOVER] [SEED-GAP PROXY] fraud_analyst_fte_cost — Fully-loaded fraud-analyst FTE cost is a modeled proxy (~\$135k/yr) until First Capital Finance attests a figure. (owner Michael Torres (CFO); confidence low; impact high)
- fraud_loss_takeout — The detection-model enhancement closes card fraud losses from \$2.1M toward the \$1.2M peer median — a \$0.9M/yr loss-avoidance ceiling. (owner James Park (CRO); confidence medium; impact high)
- realtime_payment_expansion — Expanding fraud detection from card to real-time payment fraud after FedNow go-live roughly doubles the addressable fraud-loss surface. (owner Patricia Huang (CIO); confidence medium; impact medium)
- rate_card — Blended delivery rate card reflects market rates for the ML and risk-technology roles in the estimate. (owner Patricia Huang (CIO); confidence medium; impact low)

4 · Here is what would make me wrong

The case breaks if the baseline seed gap is not closed — without the missing unit economics the value range is a proxy, not a forecast.

- [blocker/cfo] cfo_monetisation_blocked: Value cannot be monetised to a hard dollar figure — the gross value range rests on a seed-gap proxy. The CFO will not approve a fabricated return; the case must close the baseline gap first.
- [concern/cfo] cfo_downside_underwater: Downside net value (1302840) is below conservative effort (2614863.13) — in the pessimistic case the Move does not pay back. The CFO will ask what protects the floor.
- [concern/data] data_baseline_seed_gaps: 3 baseline metric(s) are seed gaps (coverage 73%): Fraud-analyst FTE cost basis, Fraud alert volume / cost-per-alert, False-positive operational cost. The case is grounded only on what is recorded.
- [concern/data] data_top_mover_is_proxy: 3 of the top-3 case-moving assumptions stand in for absent tenant data (alert_volume, false_positive_cost, fraud_analyst_fte_cost). Validating these is the highest-leverage next step.

5 · Here is what I would not fund until fixed

- kill_downside_negative: Net return is negative in the conservative case (-1312023.13). Kill or re-shape if the downside cannot be lifted above zero.
- kill_monetisation_unresolved: The baseline seed gap that blocks monetisation is not closed before the gate — without it the return is unverifiable.
- kill_baseline_unclosed: Baseline coverage stays below acceptable level — 3 seed gap(s) remain unresolved at the gate.
- kill_fraud_loss_floor: Card fraud losses stall above the \$1.8M Q1 run-rate — the detection model has stopped converging on the \$1.2M peer-median target.

- kill_realtime_expansion_blocked: FedNow go-live slips far enough that the real-time payment fraud expansion — the larger value pool — cannot be reached in horizon.

Surfaced structural flags:

- [critic/blocker] Value cannot be monetised to a hard dollar figure — the gross value range rests on a seed-gap proxy. The CFO will not approve a fabricated return; the case must close the baseline gap first.
- [critic/concern] Downside net value (1302840) is below conservative effort (2614863.13) — in the pessimistic case the Move does not pay back. The CFO will ask what protects the floor.
- [critic/concern] 3 baseline metric(s) are seed gaps (coverage 73%): Fraud-analyst FTE cost basis, Fraud alert volume / cost-per-alert, False-positive operational cost. The case is grounded only on what is recorded.
- [critic/concern] 3 of the top-3 case-moving assumptions stand in for absent tenant data (alert_volume, false_positive_cost, fraud_analyst_fte_cost). Validating these is the highest-leverage next step.

6 · Here is what Tower will measure later

3 of 4 metric(s) are wired to a recorded baseline (coverage 75%). Value loop closes: NO.

Metric	Baseline	Target	Cadence
Card fraud annualized losses	2100000	1200000	monthly
AML automated disposition rate	34	60	monthly
SAR filings past deadline	8	0	monthly
Fraud-analyst FTE cost basis	Not recorded — seed gap	Not recorded — seed gap	quarterly

7 · Here is the evidence I used — and what is missing

Baseline coverage 73%. 8 recorded metric(s), each with a cited source:

Metric	Value	Source	Quality
Card fraud annualized losses	2100000 usd_per_year	KPI fc-kpi-012 (Fraud Detection Enhancement program baseline)	measured/high
Card fraud losses — peer median	1200000 usd_per_year	KPI fc-kpi-012 peer benchmark (Fraud Detection Enhancement baseline)	benchmark/high
Annual fraud losses (all channels)	7000000 usd_per_year	KPI fc-kpi-011 (Fraud loss benchmark 2025)	measured/high
AML false-positive rate	94 percent	KPI fc-kpi-013 (OCC MRA-2 findings)	measured/high
AML automated disposition rate	34 percent	KPI fc-kpi-014 (OCC MRA-2 findings)	measured/high
SAR filings past deadline	8 percent	KPI fc-kpi-015 (OCC MRA-2 findings)	measured/high
Program investment (committed)	1800000 usd	Program inventory FC-FRAUD-2026 (active_programs.json)	measured/high
Fraud detection current run-rate	1800000 usd_per_year	KPI fc-kpi-022 (Fraud Detection Enhancement Q1 2026)	measured/high
Fraud-analyst FTE cost basis	Not recorded — seed gap	seed gap	absent/low
Fraud alert volume / cost-per-alert	Not recorded — seed gap	seed gap	absent/low
False-positive operational cost	Not recorded — seed gap	seed gap	absent/low

Declared seed gaps — missing, never invented:

- Fraud-analyst FTE cost basis: Not recorded in the KPI dictionary or the program inventory. The manual-review reduction lever depends on a fully-loaded fraud-analyst FTE cost to convert disposition-automation gains into dollars.
- Fraud alert volume / cost-per-alert: Not recorded. Annual alert volume and a per-alert handling cost are needed to size the operational efficiency of a detection-model uplift. Neither is in the seeded substrate.
- False-positive operational cost: Not recorded. The 94% AML false-positive rate (fc-kpi-013) is measured, but the dollar cost of investigating those false positives is not seeded. Modeled, not measured.

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